

# Master Operating Manual and Financial Blueprint

The Internal Execution Roadmap: From Day 1 Baseline to £10,000 Cash Target, SeedLegals SEIS EIS Setup, DDP Stock Procurement, and £1.15M Turnover Scale.

EXECUTION PARAMETER

TARGET STATUS

|                                       |                               |
|---------------------------------------|-------------------------------|
| Immediate Operating Milestone         | £10,000 Liquid Cash in Bank   |
| SeedLegals SEIS EIS Advance Assurance | £1,300 Fee Allocated          |
| Initial Stock and Framing Procurement | £8,700 Allocation (DDP Terms) |
| Post Seed Scaled Turnover (Year 1)    | £1,152,000 Gross Cash Revenue |

# Phase 1: Day 1 to £10,000 Cash Target

This manual dictates the step by step operating process to build company liquid cash from current baseline (£2k to £3k per month revenue, working full time, voluntarily VAT registered) up to the £10,000 bank milestone with zero initial payroll.

**What the £10,000 Milestone Cash Unlocks:**

- **£1,300 SeedLegals Fee:** Pays SeedLegals to prepare and file HMRC Advance Assurance for your £400k raise (£200k SEIS plus £200k EIS).
- **£8,700 Initial Stock and Framing Batch:** Direct DDP procurement of initial 16x12" framed photos, signed gloves, shorts, boots, and shirts.

## Zero and Low Inventory Cash Generation Tactics

**1. B2B ON DEMAND CONCIERGE (50% UPFRONT DEPOSIT)**

Pitch corporate gift buyers, M&A lawyers, CRE brokers, and recruitment directors for deal closing gifts. Require a **50% deposit upfront** upon order placement. That 50% deposit fully covers 100% of your supplier stock and framing cost. Collect the remaining 50% upon delivery with zero inventory holding cost.

**2. ZERO RISK CHARITY AUCTION CONSIGNMENT**

Supply 3 to 5 signed items to local UK charity galas, school auctions, or corporate golf days. Set a strict wholesale reserve price (e.g. £200). You receive your £200 reserve immediately when sold; unsold items return at zero cost.

**3. CUSTOM FRAMING FOR CUSTOMER OWNED ITEMS**

Frame items that collectors, amateur football or rugby players, or white collar boxers already own. Charge £120 to £250 per frame. Framing materials cost ~£20. Yields **80%+ pure net margin** with zero inventory risk.

## Cash Management and HMRC VAT Rules

| RULE OR MECHANISM          | EXECUTION GUIDELINE                                                                                                                                         |
|----------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Voluntary VAT Registration | Collect 20% Output VAT on retail sales. Reclaim 100% Input VAT on all UK business purchases (shipping, packaging, software, tools) on quarterly returns.    |
| The 1/3 Tax Savings Rule   | Transfer 1/3 (33.3%) of every gross payment received immediately into your dedicated Tax Savings Pot (1/6th Output VAT plus 1/6th Corporation Tax reserve). |
| 2/3 Operating Allocation   | Use the remaining 2/3 (66.7%) for main operating expenses, packaging, and stock replenishment.                                                              |

# Master Year 1 P&L Statement

Targeting 5,340 units shipped across Direct to Consumer e-commerce and B2B concierge sales channels (£1.05M product sales plus £102k P+P income).

| FINANCIAL CATEGORY                                             | AMOUNT (£)    | % NET SALES  |
|----------------------------------------------------------------|---------------|--------------|
| Gross Product Sales                                            | £1,048,000.00 | --           |
| Customer P+P Income (£20 × 5,340)                              | £106,800.00   | --           |
| TOTAL GROSS CASH REVENUE                                       | £1,154,800.00 | 100.0% Gross |
| Less Output VAT (20% UK Standard Rate)                         | £192,466.67   | 16.7%        |
| NET SALES REVENUE                                              | £962,333.33   | 100.0% Net   |
| Direct Product COGS (China DDP Terms)                          | £364,551.60   | 37.9%        |
| Insured DPD Courier Freight (£12 per shipment)                 | £64,080.00    | 6.7%         |
| GROSS PROFIT POOL                                              | £533,701.73   | 55.5% Margin |
| Logistics Manager (£36k plus NI plus 8% Pension)               | £42,093.00    | 4.4%         |
| Customer Care Admin (£26k Legal Floor plus NI plus 8% Pension) | £29,913.00    | 3.1%         |
| B2B Sales Specialist (£40k OTE plus NI plus 8% Pension)        | £46,965.00    | 4.9%         |
| B2B Rep Mileage and Travel (55p per mile rate)                 | £8,000.00     | 0.8%         |
| Full Staff Benefits Package (Healthcare, Life, Perks)          | £5,520.00     | 0.6%         |
| Luxury Packaging Boxes (£10.00 per box × 5,340)                | £53,400.00    | 5.5%         |
| Studio Rent (£600 per month) and Utilities (£200 per month)    | £9,600.00     | 1.0%         |
| Payment Fees (2%), Deadstock (2%), Refund Reserve (2%)         | £58,192.00    | 6.0%         |
| Software, Insurance, Legal, Signings and Tech Ops              | £33,300.00    | 3.5%         |
| Marketing and Paid Ads (Meta and Google @ 5.0x MER)            | £140,000.00   | 14.5%        |
| NET PRE-TAX PROFIT (EBITDA)                                    | £106,718.73   | 11.1% Net    |
| Less UK Corporation Tax (25% Rate)                             | £26,679.68    | 2.8%         |
|                                                                | £80,039.05    | 8.3% Net     |

# Day 1 Year 2 Balance Sheet and Valuation

Under Option B (Rolling Inventory Buffer Model), the business enters Day 1 of Year 2 with £120,000 in physical signed framed stock on shelves and £395,000 in liquid bank cash.

## Company Balance Sheet (Day 1 Year 2)

| ASSET CATEGORY                        | VALUE (£)   | OPERATIONAL DESCRIPTION                                                            |
|---------------------------------------|-------------|------------------------------------------------------------------------------------|
| Main Operating Account                | £229,252.07 | Liquid trading cash for Year 2 payroll, ads and new athlete signing contracts.     |
| Tax Savings Account Surplus           | £165,786.98 | Pure surplus tax cash remaining after paying HMRC VAT and Corporation Tax in full. |
| Physical Signed Stock Asset (At Cost) | £120,000.00 | ~2,600 pre-framed items ready on shelves (potential retail value ~£300,000).       |
| £515,039.05                           |             |                                                                                    |

## 4 Tier Corporate Valuation Profile

| VALUATION METHODOLOGY               | VALUATION (£) | INDUSTRY CONTEXT AND TARGET BUYER                                           |
|-------------------------------------|---------------|-----------------------------------------------------------------------------|
| EBITDA Multiple (5.5x M&A Standard) | £1,417,039.00 | Trade buyers valuing 5.5x trailing EBITDA plus £349k cash plus £120k stock. |
| Premium EBITDA Multiple (7.0x PE)   | £1,663,039.00 | Private Equity valuation for 55%+ gross margin specialty UK brands.         |
| DTC Net Revenue Multiple (2.0x)     | £1,924,666.00 | E-Commerce market multiple (2.0x Net Sales Revenue of £962k).               |
| SEIS EIS Post Money Valuation Cap   | £2,400,000.00 | Angel Investor ASA Cap (£2.0M Pre-Money plus £400k Seed Cash Raise).        |

### HMRC 3 Year Holding Rule Reminder:

Under UK tax law, SEIS EIS investors must hold their shares for at least 36 months to retain their 50% / 30% Income Tax Relief and 0% Capital Gains Tax exemption. Capital is retained in the business to drive Year 2 expansion to £2.15M turnover.